

Use computer software to identify trends in a large set of different futures markets and attempt to enter into trends and follow them for as long as they last. By following a large number of markets covering all asset classes, both long and short, you can make money in both bull and bear markets and be sure to capture any lasting trend in the financial markets, regardless of asset class.

This book shows all the details about what this group does in reality and how the members do it.

The truth is that almost all of these funds are just following trends and there are not a whole lot of ways that this can be done. They all have their own proprietary tweaks, bells and whistles, but in the end the difference achieved by these is marginal in the grand scheme of things. This book sheds some light on what the large institutional trend-following futures traders do and how the results are created. The strategies as such are relatively simple and not terribly difficult to replicate in theory, but that in no way means that it is easy to replicate them in reality and to follow through. The difficulty of managed futures trading is largely misunderstood and those trying to replicate what we do usually spend too much time looking at the wrong things and not even realising the actual difficulties until it is too late. Strategies are easy. Sticking with them in reality is a whole different ball game. That may sound clichéd but come back to that statement after you finish reading this book and see if you still believe it is just a cliché.

There are many names given to the strategies and the business that this book is about and, although they are often used interchangeably, in practice, they can sometimes mean slightly different things and cause all kinds of confusion. The most commonly used term by industry professionals is simply CTA (Commodity Trading Advisor) and though I admit that I tend to use this term myself, it is in fact a misnomer in this case. CTA is a US regulatory term defined by the National Futures Association (NFA) and it has little to do with most so-called CTA funds or CTA managers today. This label is a legacy from the days when those running these types of strategies were US-based individuals or small companies regulated onshore by the NFA, which is not necessarily the case today. If you live in the UK and have your advisory company in London, set up an asset management company in the British Virgin Islands and a hedge fund in the Caymans (which is in fact a more common set-up than one would think), you are in no way affected by the NFA and therefore not a CTA from their point of view, even if you manage futures in large scale.